



Challenges for Incumbent Insurers

Navigating a New Era in 2025

The Insurance Industry Under Pressure

The insurance sector faces a convergence of structural headwinds that threaten traditional business models. Climate volatility is rewriting risk calculations, legacy technology stacks constrain agility, and regulatory mandates evolve faster than most organizations can adapt.

Climate Volatility

Increasingly severe weather events disrupt historical risk prediction and pricing models.

Digital Gap

Legacy systems and critical tech talent shortages impede transformation initiatives.

Regulatory Complexity

Evolving mandates demand organizational agility and rapid compliance responses.

Climate Risks: The Coverage Crisis

The Scale of the Challenge

Catastrophe losses reached **\$62 billion** in H1 2024, 470% above the 10-year average. Without intervention, climate-related economic losses could exceed **\$12.5 trillion by 2050**.

Insurers are responding by raising premiums, restricting coverage, or exiting high-risk markets entirely, leaving communities vulnerable.



❑ Community-level resilience and multi-stakeholder collaboration are now essential to address this crisis.

Technology Challenges: AI and Digital Transformation

AI's Promise and Peril

AI enables predictive risk management but raises critical concerns around bias, discrimination, and fairness in underwriting decisions.

Customer Dissatisfaction

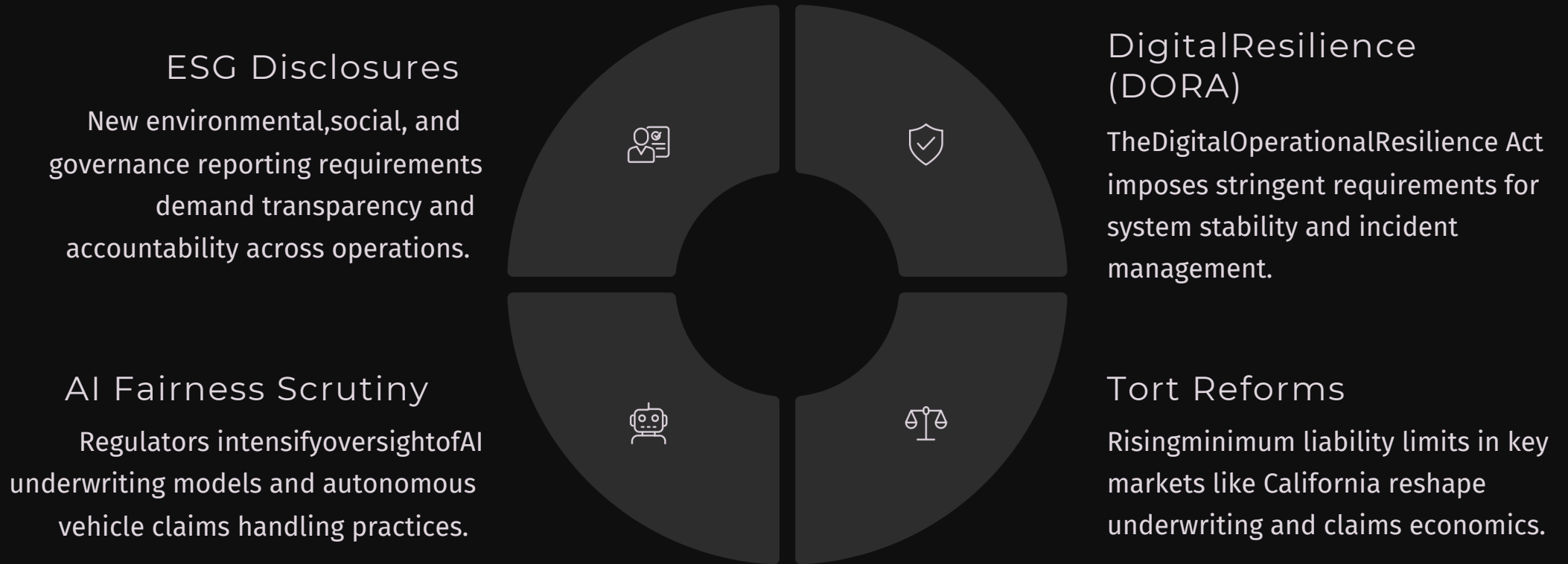
30% of policyholders are dissatisfied with current digital channels, signaling urgent need for improved experience.

Execution Gaps

Cloud and AI investments yield mixed returns due to strategy misalignment, execution challenges, and talent shortages slowing adoption.



Regulatory and Compliance Pressures



Agile risk management frameworks are essential to maintain solvency and consumer trust amid evolving rules.

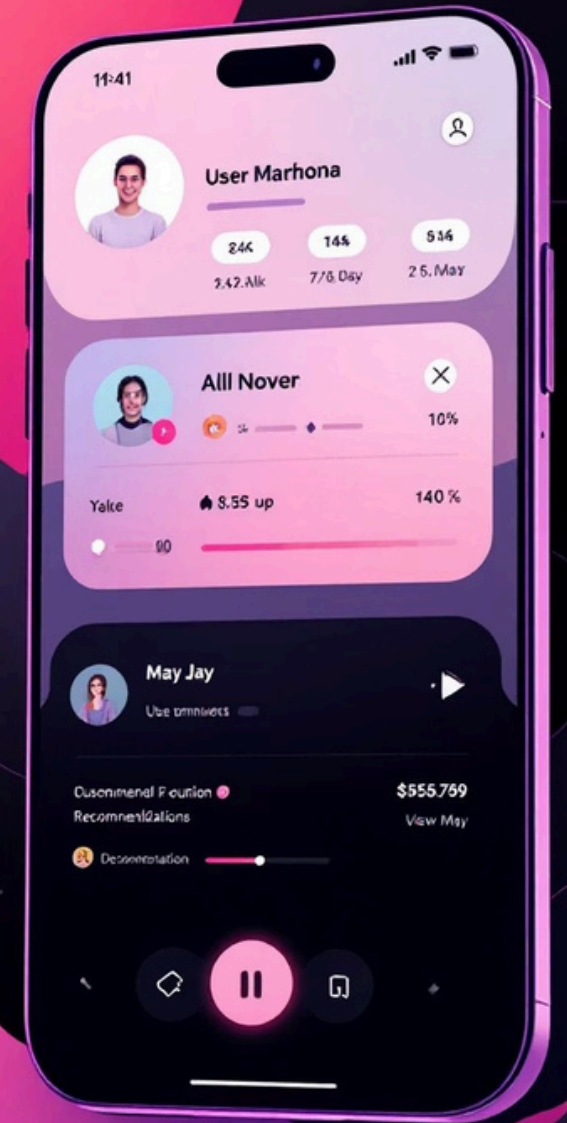
Evolving Customer Expectations

The New Standard

Customers demand hyper-personalized, convenient, and transparent insurance experiences. Embedded insurance and ecosystem-based offerings are gaining traction.

The Retention Challenge

Rising churn rates threaten loyalty as competitive digital alternatives proliferate. Insurers must balance affordability with coverage availability to retain customers.



Macroeconomic and Geopolitical Uncertainties

- Fragile Global Economy
Volatile geopolitical tensions disrupt supply chains, trade flows, and traditional risk calculations.
- Inflation and Interest Rates
Rising inflation erodes margins while interest rate volatility impacts investment income and underwriting profitability.
- Proactive Scenario Planning
Insurers must continuously monitor economic scenarios and geopolitical risks to remain resilient and competitive.



Strategic Imperatives for Incumbents



Purposeful AI

Deploy AI with fairness safeguards and transparency to build consumer trust.



Cross-Sector Collaboration

Partner across industries to build climate resilience and close critical coverage gaps.



Modernize Systems

Upgrade legacy architecture and close tech talent gaps to accelerate innovation cycles.



Customer Centricity

Transform digital channels and build ecosystem partnerships to deepen engagement.



Bright Spots and Opportunities

Well-Positioned Players

Strong capitalization creates attractive acquisition and partnership opportunities for growth.

Technology Advances

Predictive analytics and automation unlock operational efficiency and margin improvement.

Market Appetite

Growing demand for innovative products addressing unmet needs creates revenue expansion pathways.

Leadership Role

Insurers can lead societal resilience and sustainable economic development initiatives.

From Survival to Growth
Incumbent
insurers face
unprecedented
challenges but
possess unique
advantages to
seize emerging
opportunities.

1

Bold Reinvention

Transform business models, embrace new technologies, and reimagine customer value propositions.

2

Collaboration

Partner strategically across ecosystems to address systemic risks and build resilience.

3

Purpose-Driven Leadership

Lead with customer-centric innovation and commitment to societal resilience through 2025 and beyond.

